Kotak Mahindra Bank Ltd

KOTAKBANK

Sector: Financials | Sub-sector: Private Banks | NSE: KOTAKBANK

Key Metrics (Latest Year)

14.01% ROE %	**7.23%** ROCE %	**32.39%** Net Profit Margin
4.0 Debt / Equity	**13.52%** Revenue CAGR 5yr	**6766.0** FCF (Cr)

Revenue and Net Profit (10 Years)

Year	Revenue (Cr)	Net Profit (Cr)	OPM %
Mar 2016	20402.0	3524.0	-2263.0
Mar 2017	22324.0	5019.0	-3965.0
Mar 2018	25131.0	6258.0	-4141.0
Mar 2019	29831.0	7204.0	-5114.0
Mar 2020	33474.0	8593.0	-5005.0
Mar 2021	32820.0	9990.0	-9958.0
Mar 2022	33741.0	12089.0	-8512.0
Mar 2023	42151.0	14925.0	-5746.0
Mar 2024	56237.0	18213.0	-13382.0
TTM	64053.0	22530.0	-14146.0

Return Ratios (10 Years)

Year	ROE %	ROCE %	D/E	NPM %	FCF (Cr)
2015	14.01	7.67	4.71	23.31	-2165.0
2016	10.56	5.41	5.39	17.27	2672.0
2017	13.04	6.08	5.33	22.48	7933.0
2018	12.4	5.59	4.95	24.9	-15867.0
2019	12.47	5.65	5.05	24.15	-1501.0
2020	12.9	5.74	4.9	25.67	33551.0
2021	11.85	7.24	3.88	30.44	-6291.0
2022	12.51	6.63	3.78	35.83	-2595.0
2023	13.35	6.31	3.75	35.41	-11623.0
2024	14.01	7.23	4.0	32.39	6766.0

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Cash Flow Summary (5 Years)

Year	CFO (Cr)	CFI (Cr)	CFF (Cr)	Net Cash (Cr)
Mar 2020	46619.0	-13068.0	-735.0	32815.0
Mar 2021	4881.0	-11172.0	-10072.0	-16363.0
Mar 2022	8308.0	-10903.0	7543.0	4949.0
Mar 2023	-1242.0	-10381.0	1883.0	-9740.0
Mar 2024	15685.0	-8919.0	15515.0	22281.0

Strengths

+ Operating profit margin above 25% indicates strong pricing power and cost discipline
+ Net profit compounding at above 20% over 5 years creates significant shareholder value
+ Consistent dividend yield above 2% backed by positive free cash flow
+ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
+ Return on equity improving for 3 consecutive years shows strengthening business quality
+ Revenue growing slower than profits shows improving operating leverage and scale benefits

Concerns

- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Net debt exceeding 3 times FCF is a high leverage ratio and limits financial flexibility

Capital Allocation Pattern

Mixed